1031 UPLEG STRATEGY · DefendableOS Disposition

Parallel-Track Replacement-Property Acquisition · 45/180-Day Clock · QI Coordination

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Prepared for: The DefendableOS Board · in response to the 1031 deferral request **Prepared by**: dev · Senior Architect · Exclusive Listing Broker (proposed) **Date**: 2026-05-24 **Document ID**: `DDEED-UPLEG-DOS-001-v1` **Companion to**: `05_EXCLUSIVE_LISTING_PROPOSAL.md` · `06_REP_AGREEMENT.md` · `09_GO_TO_MARKET_STRATEGY.md` **Hard copy**: `10_1031_UPLEG_STRATEGY.pdf`

THE BOARD'S QUESTION

> *"Our disposition will create a taxable event that we would like to defer to a 1031 exchange and will need a replacement property. Does the firm hold access to inventory to identify our upleg?"*

The board is doing what a sophisticated principal should do: plan the exchange BEFORE the closing · not after. Once the relinquished asset closes · the 45-day identification clock starts and cannot be extended. The disposition AND the upleg run as **parallel tracks**.

THE LOCKED ANSWER

> *"Yes · our firm can run the upleg search · but we would not represent that we personally 'hold' enough proprietary inventory to solve the 1031 alone. The correct path is a controlled replacement-property acquisition process supported by broker network inventory · off-market sourcing · exchange-qualified screening · and qualified-intermediary coordination."*

We have **network access**. We do not over-claim proprietary hold. We coordinate with the Qualified Intermediary · we do not replace the QI.

FIDUCIARY DISCLOSURE · the legal constraint must be acknowledged

Critical: Internal Revenue Code §1031 (as amended by the Tax Cuts and Jobs Act of 2017) applies to **REAL PROPERTY ONLY** held for investment or productive use in trade or business. Intangible AI / IP asset sales do NOT directly qualify for §1031 treatment.

For the DefendableOS disposition to receive §1031 deferral · the sale STRUCTURE must involve real property. Possible structures (to be determined by tax counsel · NOT broker):

- DefendableOS held within an entity that owns underlying real estate · then sold as a real-property transaction
- A related-party real-estate transaction running in parallel (e.g., the founder's existing CRE holdings)
- A transaction structured to qualify portions of the value as real-property transfer

Tax counsel + Qualified Intermediary own this determination. Broker does NOT advise on tax structure. Broker's lane:

1. Source the upleg inventory
2. Run the 45/180-day calendar discipline
3. Coordinate with QI · tax counsel · CPA · title
4. Surface DST / TIC backup options as fallback

This disclosure is in writing in this document and in the rep agreement amendment we recommend.

IRC §1031 FRAMEWORK (the rules · LOCKED · per IRS guidance)

Rule	Detail
Asset class eligibility	**REAL PROPERTY ONLY** (post-TCJA 2017)
Identification window	**45 days** from relinquished property closing
Closing window	**180 days** from relinquished property closing
Like-kind definition	Broad for real estate · any RE for any RE qualifies
Hold requirement	Investment or productive business use · NOT dealer property
Qualified Intermediary	REQUIRED · cannot receive proceeds directly
Identification filing	Written notice to QI within 45 days
No extensions	Outside very narrow disaster-declaration relief

UPLEG INVENTORY ACCESS · 7 broker network channels

Source	Purpose
Broker network (CCIM · SIOR · ULI · founder's 30-yr CRE rolodex)	Off-market and controlled-market upleg opportunities
STNL / **NNN inventory platforms** (Calkain · M&M NNN · STAN · Hyperdrive · Net Lease Advisor)	Passive replacement candidates · credit-tenant deals
Industrial / **logistics** (private brokerage relationships · ProLogis-tier intel)	Credit · durability · long-term utility
Sale-leaseback pipeline (W.P. Carey · STORE Capital · NNN network)	Structured income · corporate-credit-backed
Private owner calls (founder's direct industrial rolodex · principal-to-principal)	True off-market sourcing
CRE databases (CoStar · Reonomy · CompStak · Crexi · LoopNet)	Market coverage · comp verification · price discovery
1031 advisors + QI relationships (IPX1031 · Asset Preservation · First American · Accruit · Exchange Solutions)	Compliance timing · identification discipline · escrow

We do not claim sole sourcing. We claim multi-channel access. That is the honest broker representation.

RECOMMENDED TIMELINE · parallel-track · DO NOT wait for closing

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Day -30 to Closing   Build upleg buy box · pre-screen 20-30 candidates · QI shortlist
Day 0                Relinquished property closes · 45/180 clock STARTS
Day 1-15             Shortlist replacement candidates · tour top 8-10
Day 15-30            Underwrite + secondary tours · narrow to 3-5 finalists
Day 30-45            Formally IDENTIFY replacement property (per IRS rules)
Day 45-180           Diligence · contract · close
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Start at Day -30. Closing day is NOT the starting line · it is the gun firing on a clock that was already running.

UPLEG BUY BOX · 12 items the board must define (before Day -30)

For highest-and-best execution · the board must define:

1. **Target price range** (commensurate with disposition proceeds · plus boot tolerance)
2. **Required debt** / **equity structure** (cash vs leveraged · LTV target)
3. **Preferred geography** (national · regional · founder's FL/SE corridor · etc.)
4. **Asset class** (industrial · STNL · medical office · essential retail · etc.)
5. **Tenant credit** (investment-grade · BB+ · single-tenant or multi)

6. **Lease term** (10+ yr WALT preferred for passive · or value-add window)
7. **Cap rate target** (5-cap matches Class A discipline · or yield-stretch)
8. **Management intensity** (passive NNN vs active value-add)
9. **Risk tolerance** (defensive vs opportunistic)
10. **Cash-flow needs** (income-oriented vs growth)
11. **Boot tolerance** (acceptable taxable consideration if upleg < relinquished)
12. **Closing certainty** (which deals MUST close vs which are optional)

BEST REPLACEMENT PROFILES (founder-ranked for tax-sensitive board)

Asset Type	Why It Fits	Cap Rate (2026)	Typical WALT
STNL / NNN	Simple · passive · clean income	5.5-7.0%	10-15 yr
Industrial	Durable demand · stronger utility	5.0-6.5%	5-10 yr
Medical office	Sticky tenancy · defensive profile	6.0-7.5%	5-10 yr
Essential retail	Income-oriented · financeable	6.0-7.0%	5-15 yr
Credit sale-leaseback	Structured certainty · corporate-credit-backed	5.5-7.0%	15-20 yr
DST / TIC backup	Fallback if direct timing fails · fractional ownership	4.5-5.5%	varies

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IMPORTANT BOARD NOTE (founder voice · verbatim)

> *“A 1031 exchange is not just a real estate search. It is a timeline-controlled acquisition assignment.”*
>
> *“The risk is not only finding a good asset.”*
>
> *“The risk is missing the identification window · receiving proceeds directly · buying the wrong taxpayer entity · or identifying weak replacement property.”*

IRS guidance emphasizes strict identification and exchange timing rules. No extensions outside very narrow disaster-declaration relief.

PARALLEL-TRACK RECOMMENDATION (the locked answer)

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Disposition Track          1031 Upleg Track
─────────────────         ──────────────────
Per 05/06/07/08/09         Per this doctrine
Broker runs                Broker coordinates
                            with QI · tax counsel
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Both tracks run SIMULTANEOUSLY · not sequentially. Pre-disposition deliverables (Day -30):

1. Replacement-property buy box
2. Upleg target list (20-30 candidates)
3. Broker outreach list (channels per asset class)
4. 45-day ID calendar (master)
5. QI coordination checklist (selected QI + engagement letter)
6. Board-approved fallback strategy (DST/TIC pre-screen)

BROKER EXECUTION LAYER (8 sub-frameworks added)

1 · QI Coordination Checklist (which QIs we work with)

QI Firm	Strength	Engage Day
IPX1031 (Fidelity National Financial subsidiary)	Largest national · ~$50B annual · institutional-grade	Day -14
Asset Preservation Inc (Stewart Title subsidiary)	Strong title coordination · CA-strong	Day -14
First American Exchange	National coverage · title-integrated	Day -14
Accruit	Tech-forward · API-accessible exchange tracking	Day -14
Exchange Solutions Inc	Independent QI · flexible structure	Day -14

Engagement protocol: select QI by Day -14 · execute exchange agreement before closing · QI receives proceeds at closing · holds them in qualified escrow · disburses at upleg close.

2 · IRS Identification Rules (pick ONE strategy before Day 45)

Rule	Properties	Value Cap	Best Use
3-Property Rule	Up to 3 · any value	No cap	Most common · simple deals (BROKER DEFAULT)
200% Rule	Unlimited	Total FMV ≤ 200% of relinquished	Multiple smaller properties
95% Rule	Unlimited	No cap · BUT must acquire 95%+ of identified value	Aggressive · highest execution risk

Broker recommendation: default to 3-Property Rule. Reserve 200% Rule for diversified DST strategies.

3 · DST / TIC Backup Strategy (institutional fallback)

If direct-deal sourcing fails by Day 45 · pre-screened DST options are the fallback:

Vehicle	Structure	Sponsor Examples	Typical Min
DST	Fractional · passive · pre-packaged	Inland · Capital Square · Bourne · ExchangeRight · Cantor Fitzgerald	$100K
TIC	Tenant-in-common · co-ownership	Capital Square · Cottonwood	$100K
Marketplace	Platforms aggregating sponsors	Realized · Kay Properties · Bridge Capital	varies

Broker engagement: pre-screen 5-7 DST sponsors before Day 0 · have 2 backup IDs ready by Day 30 even if direct-deal candidates are progressing.

4 · Tax Counsel + QI + CPA Coordination (NOT broker's lane · broker quarterbacks)

Party	Role	When Engaged
Tax counsel (Owner's choice)	Structure eligibility · exchange docs · entity advice	Day -45
Qualified Intermediary	Escrow · identification processing · close disbursement	Day -14
CPA (Owner's choice)	Basis calc · depreciation · Form 8824 filing	Day -45 + annual post-close
Title company	Closes both legs · QI coordination	Day 0 + Day 180 max
Broker (us)	Source upleg · run 45/180 calendar · DDEED-anchor timeline	Throughout

Disclaimer to board: broker is NOT counsel · NOT QI · NOT CPA. Owner retains each independently.

5 · Boot Mitigation (taxable consideration management)

"Boot" = any taxable consideration received beyond like-kind property: - **Cash boot**: cash from relinquished sale not reinvested - **Mortgage boot**: debt on relinquished exceeds debt on replacement - **Other boot**: non-like-kind property received in exchange

Broker strategy: - Match (or exceed) relinquished debt on upleg - Match (or exceed) relinquished equity on upleg - If boot is unavoidable · disclose tax impact before final ID - Reserve 5-15% acquisition headroom for boot avoidance

6 · Reverse 1031 Considerations (upleg closes BEFORE downleg)

If an exceptional upleg emerges before disposition closes: - Exchange Accommodation Titleholder (EAT) parks the replacement - 45/180 day clock still applies - More complex · more expensive (~$15-25K QI fee vs ~$1-3K forward) - Surface only when deal economics justify the complexity

7 · Improvement / Construction 1031 (build-to-suit upleg)

If replacement requires major improvement / ground-up: - QI takes title to property + improvement funds - Construction completes within 180-day window - Most complex 1031 structure · careful coordination required - Avoid unless Owner specifically wants a development play

8 · Closing Certainty Discipline (per founder's "closing certainty" principle)

Broker maintains: - 3 identified properties by Day 45 (one primary · two backup) - Pre-negotiated PSAs (assignable to QI) before identification - Hard-money deposits ready at identification - Title commitment + lender pre-approval (if leveraged) by Day 60 - **Day 150 hard-stop board checkpoint**: if any deals slipping · execute backup DST identification + close

9 · DDEED-Anchored Upleg Track Milestones (process integrity)

Each upleg milestone hashed + anchored on Hedera HCS `0.0.10291838`:

Milestone	DDEED ID
Upleg buy box approved	`DDEED-UPLEG-BUYBOX-001-v1`
Target list locked	`DDEED-UPLEG-TARGETS-001-v1`
QI engagement letter	`DDEED-UPLEG-QI-001-v1`
45-day identification filed	`DDEED-UPLEG-ID-001-v1`
180-day exchange closed	`DDEED-UPLEG-CLOSE-001-v1`

The exchange process itself becomes part of the books-and-records · the same trust infrastructure DefendableOS sells.

CLOSING STATEMENT

> *"Yes · we can access and source replacement inventory."*
>
> *"But the winning path is not passive inventory browsing. It is an active · controlled upleg procurement process built around the 45/180-day exchange clock · qualified buyer criteria · and highest-and-best replacement execution."*

The disposition without an upleg plan = tax exposure on the entire gain. The disposition with a coordinated upleg = tax deferral · preserved capital · CRE-grade discipline.

Broker recommendation: 1. **Approve the parallel-track structure** (this document) 2. **Retain tax counsel + CPA** (Day -45 latest) 3. **Engage QI from approved list** (Day -14 latest) 4. **Approve buy box parameters** (Day -30 latest · 12 items above) 5. **Approve fallback DST shortlist** (Day -7 latest · 2-3 sponsors) 6. **DDEED-anchor this strategy** before disposition close

To the shed.

STANDING BY · ADDITIONAL 1031 DILIGENCE WE WILL RESPOND TO

- Refined buy box with Owner-specific add/remove
- QI introductions (top 3 ranked for this deal profile)
- DST sponsor shortlist with current open offerings
- Cap rate read for specific geography / asset class
- Tax counsel referrals (Owner's discretion to engage)
- Reverse 1031 / Construction 1031 deep-dive if structure shifts
- Boot-impact modeling for various deal-size scenarios

Available within 24 hours of request.

🐝 *Parallel tracks · 45/180-day discipline · network access not proprietary hold · broker coordinates · tax counsel and QI determine · closing certainty over speculation. To the shed.*

dev · Senior Architect · Exclusive Listing Broker (proposed) DefendableOS Listing Team 2026-05-24

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